

₹3.61 lakh crore had been issued under ECLGS, benefitting 11.9 million borrowers.

MSME ministry officials also point to additional capital infusion of ₹9,000 crore into the Credit Guarantee Fund Trust for Micro and Small Enterprises to enable additional credit of ₹2 lakh crore with a reduced cost of credit. The government has also established the Credit Guarantee Scheme for Startups, under which loans to 106 start-ups amounting to ₹265 crore have been guaranteed. Other measures include the Startup

able on MSME borrowers, the comfort of lenders will increase... Due to repayment data available with credit bureaus, MSME borrowers are also becoming more careful in making timely payments,” he says. The quality of banks’ MSME portfolio has shown improvement with gross NPAs declining to 4.7% in September 2023 from 7.7% a year earlier. Shachindra Nath, Founder and MD of U GRO Capital, an MSME lending-focussed fintech, adds that as formalisation of the sector continues and companies have more data and the ability to collate it, credit to the sector will increase. “The next 10 years could be the

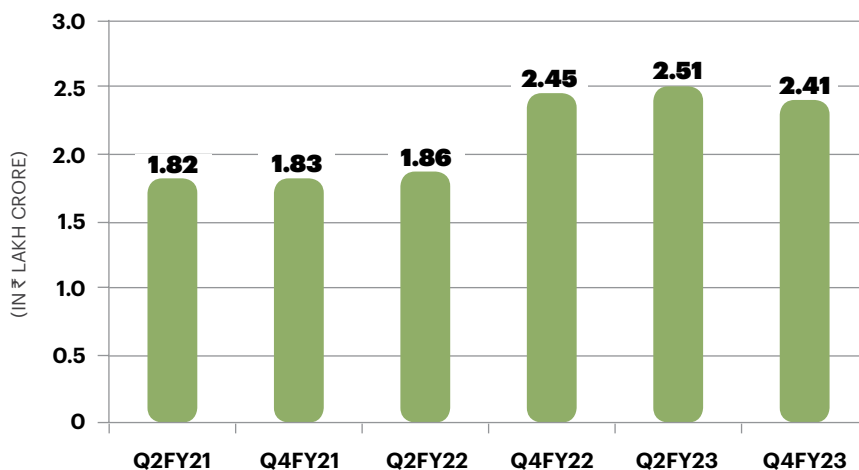
FINANCING WOES

► There is a credit gap of ₹28 lakh crore for these borrowers

► About ₹25 lakh crore of loans have been given out

SOURCE CAREEDGE RATINGS, SIDBI AND TRANSUNION CIBIL, MSME PULSE

TOTAL LOAN ORIGINATION



India Seed Fund Scheme and Startup India Fund of Funds for Startups. Bharadwaj of FISME suggests that the government can consider floating a large dedicated commercial bank. “A commercial bank for MSMEs with a branch in every district could help MSMEs in a big way,” he says.

At a recent webinar, CareEdge Ratings summed up the major stumbling blocks for MSMEs in accessing formal credit: requirement for collateral, lack of credit history and financial record, the seasonal nature of business of MSMEs, and the lack of awareness and financial literacy. CareEdge’s Agarwal notes that gross NPAs for MSMEs is at an all-time low. “As more data becomes avail-

golden age of MSMEs and with the right credit financing, they could contribute as much as 40% to the GDP.”

FORMALISATION PUSH

The government is trying to nudge unregistered MSMEs into the formal sector so that they can avail the benefits of various schemes and access to bank credit. But the transition has not been easy. Demonetisation and the GST roll-out were seen as major stumbling blocks and then the pandemic happened. Many also prefer to stay off the books as it allows them to operate without regulatory scrutiny.

“The formalisation gap remains high, and we are fo-